Team No.: 33P

No. 18-0918

IN THE
SUPREME COURT OF THE UNITED STATES

In re Backstreets Plowing, Inc. Debtor, Steven Vin Sant, Chapter 7 Trustee
Petitioner,

v.

Milton Weinberg, Respondent.,
Respondent.

ON A WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE THIRTEENTH CIRCUIT

Brief For Petitioner

TEAM NO. 33P
Counsel For Petitioner

QUESTIONS PRESENTED

1. Aside from the trustee, no party is allowed to control the property of a bankruptcy estate pursuant to 11. U.S.C. § 362(a)(3). Weinberg refuses to return the property he repossessed to the estate, is he in violation of 11. U.S.C. § 362(a)(3)?

2. The language in 11 U.S.C. § 503(b)(3)(D) allows for administrative expenses to be awarded if there was a substantial contribution in chapter 9 and 11 cases. Weinberg substantially contributed to the debtor's estate. Does this section allow for administrative expenses in chapter 7 cases?

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JURISDICTIONAL STATEMENT

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATEMENT OF THE FACTS

Christopher "Big Man" Clemons ("Clemons") sole owner of Backstreets Plowing, Inc. ("Debtor") a snow removal business. (R-3). Clemons realized that he would need more efficient snow plow trucks ("trucks") to win a snow plowing contract from the Debtor's hometown of the City of Badlands. (R-4/R-5). In the Spring of 2015, Clemons borrowed $450,000 from Milton Weinberg ("Weinberg") to make this purchase for the Debtor who was subsequently awarded a plow contract from the City of Badlands. (R-4). Weinberg received a security interest in the trucks from Debtor and a personal guarantee from Clemons. (R-4). A promissory note in the amount of $450,000 with an initial payment date was signed in the Spring of 2015 with payments to commence in December 2015; however, no loan payments were made due to a personal squabble over football. (R-5). In April 2016, Weinberg filed suit against Clemons and Debtor regarding the note's non-payment in the State of Moot Circuit Court on the note. (R-5). In October 2016, Weinberg won default judgment in the amount of $450,000 plus interest against Clemons and Debtor, jointly and severally. (R-5). In January 2017, a full 3 months after obtaining judgment against Clemons and in the height of snow season, Weinberg began his effort to enforce the judgment and hired E Street Auto Recovery ("E Street") to repossess Debtor's trucks. (R-6). In late January 2017, E Street repossessed the trucks and placed them in Weinberg's warehouse. The trucks have not moved since January 2017. (R-6)

Without the cornerstone of its business, the trucks, on February 4, 2017, the Debtor was forced to voluntarily declared Chapter 11 bankruptcy. (R-6) Debtor's attorney promptly sent Weinberg a letter demanding the return of the repossessed trucks - Weinberg declined the

request. In an effort to continue operations and succeed in the Chapter 11 process, the Debtor requested the bankruptcy court's order compelling the return of the trucks pursuant to the automatic stay provision of Section 362(a)(3). (R-6).

The bankruptcy court declined the Debtor's request. (R-6). In March 2017, the Debtor timely appealed the court's decision. (R-6). With no income and notice that the City of Badlands was not going to renew the Debtor's contract in March 2017, Debtor voluntarily converted the bankruptcy from a Chapter 11 to a Chapter 7. (R-7). On April 13, 2017, Steven Vin Sant (the "Trustee") was appointed to liquidate the estate. (R-7).

In May 2017, Weinberg retained a collection law firm to initiate collection efforts against Clemons under state law as Clemons had signed a personal guarantee. (R-7). In the course of conducting a creditors' examination, Weinberg learned that in May 2016, Debtor transferred approximately $100,000 to a bank account controlled by Patti Clemons, Clemons' daughter. (R-7). After completing the full investigation, Weinberg demonstrated to the Trustee that the transfers were avoidable as fraudulent transfers. (R-7). Trustee sought to recover the money under sections 548 and 550 of the Code. To settle the Trustee's claims, Patti Clemons agreed to pay $75,000 to the estate. The bankruptcy court approved the settlement between Patti Clemons and the Trustee. (R-7).

Investigating the fraudulent transfers cost Weinberg $25,000 in legal fees which he sought to recover under section 503(b) by filing a motion seeking allowance of a substantial contribution administrative expense. (R-7). Under the Code, general unsecured creditors are paid after priority claims as set forth in section 507, which includes administrative claims allowed under 11 U.S.C. Sec. 503. 11 U.S.C. Sec. 726(a)(2). The Trustee opposed the motion based on

the belief that Chapter 7 does not allow for the reimbursement of administrative expenses for substantial contribution. (R-8). Despite the Trustee's objection, the bankruptcy court granted Weinberg's motion for administrative expense for $25,000. (R-8). The Trustee appealed this decision. (R-8).

In September 2017, Tenth Avenue offered to purchase the snow plow trucks and substantially all of the Debtor's assets. Tenth Avenue wished to win the contract with the City of Badlands that Debtor had had. Therefore, Tenth Avenue's offer was contingent on obtaining title and possession of the trucks that Weinberg had repossessed. Believing that Tenth Avenue's offer was the best way to maximize the estate's value the Trustee negotiated with Weinberg for the return of the trucks. (R-8). The negotiations between Weinberg and the Trustee were fruitless.

As Weinberg was unwilling to return the trucks in November 2017 Tenth Avenue withdrew its offer to purchase the debtor's assets. (R-8).

In January 2018, Stone Pony submitted an offer $100,000 below the Tenth Avenue's bid for Debtor's assets excluding the trucks. (R-8). The Trustee agreed to Stone Pony's bid. In February 2018, Stone Pony's offer was approved by the bankruptcy court. (R-9).

The sale of non-truck assets did not close the bankruptcy. The Trustee is continuing to pursue damages from Weinberg stemming from his violation of the automatic stay. (R-9). The Trustee also seeks to deny Weinberg the administrative expense claim. (R-9). The Trustee has appealed the bankruptcy court's decision regarding the automatic stay and the substantial contribution. (R-9). The appellate panel affirmed the bankruptcy court on both items that were up for appeal. (R-9). The Trustee has filed a timely appeal with the Court and cert has been granted. (R-9).

SUMMARY OF THE ARGUMENT

The text of 11 U.S.C. § 362(a)(3) states that except for the trustee, no party is permitted to exercise control over the property of the estate. However, despite the trustee's request that he deliver provide the trucks to the estate, Weinberg kept the Debtor's trucks he legally repossessed prior to the Debtor's bankruptcy filing. This action flies in the face of the clear text of the statute as examined through the lenses of generally accepted cannons of construction, related Supreme Court precedent and the caselaw from a majority of circuits that have interpreted 11 U.S.C. § 362(a)(3). This statutory construction is also at odds with the purpose of bankruptcy which is to facilitate the efficient and equitable satisfaction of debtors By preventing the trucks from being returned to the estate Weinberg is exercising control of the equipment. The 11 U.S.C. § 362(a), 11 U.S.C. § 362(a)(3) and the caselaw more broadly all support the Trustee's argument that Weinberg should return the trucks upon the Trustee's request. In interpreting 11 U.S.C. § 542, the Supreme Court has already found the Bankruptcy Code's turnover power to be self-executing, application of the existing Supreme Court precedent also supports the Trustee's argument.

11 U.S.C. § 503(b)(3)(D) expressly sets forth when creditors are entitled to be reimbursed for their expenses as an administrative expense ahead of all other creditors. It permits this type of expense only when the creditor makes a "substantial contribution" in a chapter 9 or a chapter 11 case. 11 U.S.C. § 503(b)(3)(D). The lower courts have found that Weinberg did substantially contribute to the debtor's bankruptcy estate. Consequently, the Bankruptcy Code prevents Weinberg, and any other creditors, from being reimbursed its expenses based on a "substantial contribution" in chapter 7 cases. Weinberg urges that its claim should be allowed by the general language of 11 U.S.C. § 503(b), which provides that "there shall be allowed administrative

expenses," but that general statutory section cannot govern where the more specific provision explicitly states that such fees can be awarded only in chapter 9 and chapter 11 cases.

ARGUMENT

I. 11 U.S.C. § 362(a)(3) OF THE BANKRUPTCY CODE PRECLUDES THE CREDITOR FROM ENGAGING IN ANY ACT TO CONTROL THE ESTATE'S PROPERTY; THE CREDITOR'S REFUSAL TO PROVIDE THE ESTATE'S ASSETS TO THE TRUSTEE VIOLATES 11 U.S.C. § 362(a)(3)

The contested portion of 11 U.S.C. § 362(a)(3) states that upon the filing of a bankruptcy petition, an automatic stay is imposed which prevents any party from engaging in "any act to obtain possession of property of the estate…or to exercise control over the property of the estate." 11 U.S.C. § 362(a)(3). This Court has held that "When a word is not defined by statute, we normally construe it in accordance with its ordinary or natural meaning. *Smith v. United States*, 508 U.S. 223, 228 (1993) (O'Connor, J.). To aid in this exercise, the Court has relied on the dictionary, common usage and canons of construction. see generally, *Bilski v. Kappos*, 561 U.S. 593, 606 (2010) (Kennedy, J.). The Merriam-Webster dictionary defines the word "act" as "the doing of a thing." Merriam-Webster's Collegiate Dictionary (11th Ed.2003). The same dictionary defines the term "control" as "to exercise restraining or directing influence over." *Id.*

A. Application of the Standard Statutory Interpretation Tools to a Text Based Analysis of 11 U.S.C. § 362(a)(3) Leads to the Conclusion that that Section's Turnover Power is Self-Executing, This Finding is Known as the Majority Rule

The Debtor's argument that the retention of the property after the filing of bankruptcy is considered the "Majority Rule" and has been endorsed by the 2nd, 7th, 8th, and 9th circuits. *Thompson v. Gen. Motors Acceptance Corp., LLC*, 566 F.3d 699, 702 (7th Cir. 2009); *In re Weber*, 719 F.3d 72, 79 (2d Cir. 2013), *State of Cal. Emp't Dev. Dept v. Taxel (In re Del Mission Ltd.)*, 98 F.3d 1147, 1151 (9th Cir. 1996); *Knaus v. Concordia Lumber Co., Inc. (In re Knaus)*, 889, F.2d 773, 775 (8th Cir. 1989). The view advocated by Weinberg is the "Minority Rule" and

has been endorsed by the 10th, D.C. and most recently 13th Circuits. *See Davis v.. Tyson Prepared Foods, Inc. (In re Garcia)*, 740 Fed. Appx. 163, 164 (10th Cir. 2018); *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991); (R-10). Implementation of the Majority Rule would not only be consistent with the text of the statute, a Supreme Court case which dealt with a similar topic, and the overall purpose of bankruptcy but also with American Jurisprudence. Adaptation of the Majority Rule by this Court would limit the disruption within the legal system as few existing precedents would be upended.

1. Application of Standard Dictionary Definitions to the Text of 11 U.S.C. 362(a)(3) Supports the Majority Rule.

As Weinberg gained possession of the trucks prior to the filing of the bankruptcy, the analysis in this case focuses on the second half of 11 U.S.C. § 362(a)(3): the portion precluding a party from exercising control over the assets of the estate. The fact pattern shows that Weinberg committed an act and then exercised control over the trucks. After Weinberg repossessed the trucks he, using Merriam-Webster's definition of "act" Weinberg "did a thing" by making a decision to not deliver the trucks to the trustee. (R-6). Weinberg's actions qualify as an exercise of control. As control is defined as "to exercise restraining or directing influence over", Weinberg's decision to keep the truck on his property rather than agree to the trustee's demand that they be returned to the estate is a method of exercising restraining power over the property. Weinberg's actions fall squarely within the definitions of an "act" to "exercise control" over the trucks.

Circuit courts that have heard cases with similar fact patterns have performed a similar analysis in determining when creditors "act" to "exercise control" over the property of an estate. In *Thompson*, the plaintiff borrowed money to purchase a car and then later defaulted on his loan. *Thompson*, 566 F.3d at 701. The lender repossessed the plaintiff's car, the plaintiff

subsequently declared bankruptcy and the estate made a request that the car be surrendered to the estate, this request was denied. *Id.* at 701-02. The appellate court reviewed the text of § 362(a)(3) and found that the creditor was exercising control of the car by not providing it to the estate. *Id.* at 702. *In re Weber*, the plaintiff purchased a truck on credit, became delinquent on their loan and the creditor properly repossessed the truck. *In re Weber,* 719 F.3d at 74. The creditor then filed bankruptcy and the estate demanded that the truck be returned to the estate, the debtor refused. *Id.* Applying a text analysis approach similar to Thompson and this brief more broadly, the 2nd Circuit found that retention of the truck by the creditor was a violation of 362(a)(3). *Id.* at 79-81.

The exception to the plain meaning rule is not applicable in this case as the above statutory interpretation yields a reasonable result. Justice Blackmun stated that "the plain meaning of legislation should be conclusive, except in the rare cases [in which] the literal application of a statute will produce a result demonstrably at odds with the intentions of its drafters." *United States v. Ron Pair Enterprises, Inc.*, 489 U.S. 235, 242 (1989). The proposed construction of this statute that allows for the inclusion of repossessed property in the estate is in accordance with the intention of the drafters. As the Court has already noted "…Congress intended a broad range of property to be included in the estate. The statutory language reflects this view of the scope of the estate. As noted above, § 541(a) provides that the estate is comprised of all the following property, wherever located: ... all legal or equitable interests of the debtor in property as of the commencement of the case. … § 541(a)(1) is intended to include in the estate any property made available to the estate by other provisions of the Bankruptcy Code." *United States v. Whiting Pools, Inc.*, 462 U.S. 198, 204–05 (1983). An interpretation of the statute that would increase the amount of property that the estate held would not only be

reasonable it would be consistent with what the Court has already stated was Congress' goal regarding bankruptcy. The interpretation of this statute being advocated is within the parameters of the plain meaning rule.

2. Analysis of the Text of 11 U.S.C § 362 Beyond 11 U.S.C. § 362(a)(3) Further Demonstrates that the Majority Rule is the Correct Interpretation of 11 U.S.C. § 362(a)(3).

The text of 11 U.S.C. § 362(a)(3) specifically and the text of 11 U.S.C. § 362 more generally strengthen the argument for the Majority Rule. The broader review of this statute demonstrates that the turnover power is self-executing and also defeats the "adequate protection" argument advanced by proponents of the Minority Rule.

a. The Application of a Canon of Construction that this Court Endorsed Supports the Majority Rule.

The harmonious-reading cannon has been utilized by this Court. *Maracich v. Spears*, 570 U.S. 48, 68 (2013) (Kennedy, J.). This cannon requires that the text "be interpreted in a way that renders them compatible, not contradictory." *Id.* As acknowledged by proponents of both the Majority Rule and the Minority Rule, 11 U.S.C. § 362(a)(3) bans two separate things: 1) any act to obtain possession of the estate's property or 2) any act to exercise control over the estate's property. *Inslaw, Inc.*, 932 F.2d at 1474; *In re Weber*, 719 F.3d at 79. The first clause of statute bans any action to gain possession of the property belonging to the estate. A reading that the next clause of the statute is intended to allow a party with possession of it to retain possession seems unlikely. Such an interpretation becomes even more suspect when reviewing the other topics covered by 11 U.S.C. § 362(a). Other provisions of 11 U.S.C. § 362(a) ban activities creditors that would make it harder for the business that declared bankruptcy to continue operations or the trustee to administer the bankruptcy process. *See eg*., § 362(a)(7) (prohibiting the setoff of any prepetition debt). A reading of 11 U.S.C. § 362(a)(3) is that consistent with the rest of the statute would find that the statute precludes any party from taking possession of the estate's property or

doing anything to keep possession of it. This interpretation is not only consistent with the rest of the statute, it also keeps with bankruptcy processes' overall goal of bringing all of the debtor's assets under the control of the bankruptcy estate. *In re Weber*, 719 F.3d at 78.

Consideration of 11 U.S.C. § 362 in its entirety makes the Minority Rule unlikely. The Minority Rule finds that the ten words it is focused on are to be interpreted in a way that puts them at odds with the rest of the three hundred words of § 362(a). This view finds that while 11 U.S.C. § 362 is structured to allow the entity that declared bankruptcy continue operations, except when it comes to an estate being able to control its' assets (when they are in the hands of the creditor). Such an interpretation is at odds with both a canon of interpretation endorsed by the Court and the generally accepted operating principal of the bankruptcy process.

b. 11 U.S.C. § 362 Preserves a Creditor's Due Process Rights, the Provision's Codification of Due Process Rights Demonstrates the "Adequate Protection" Argument is a Red Herring

11 U.S.C. § 362(d) provides a creditor due process thus weakening the argument that a party can refuse the trustee's request to deliver property to the estate on the grounds of not having "adequate protection." A creditor's refusal to deliver an item that they repossessed pre-bankruptcy to the estate has been justified on the belief that once the creditor returned the property they would no longer have "adequate protection." (R-13). The text 11 U.S.C. § 362 contain no exceptions that allow a party to ignore the trustee's request on the grounds of lacking "adequate protections." Given this lack of a text-based requirement that some sort of judicial review is required, it is unsurprising that appellate courts relied on the plain language of the statue to conclude the holder of the estate's property must surrender the property to the trustee without a hearing. *In re Sharon*, 234 B.R. 676, 684 (B.A.P. 6th Cir. 1999); *State of Cal. Emp't Dev. Dept* at 1151.

The language of 11 U.S.C. 362(d) bolsters the argument that the stay does encumber the property repossessed by a creditor. 11 U.S.C.§ 362(d) states:

> "…the court shall grant [a party in interest] relief from the stay provided under subsection (a) of this section, such as by terminating, annulling, modifying, or conditioning such stay-- (1) for cause, including the lack of adequate protection of an interest in property of such party in interest;…"

If a creditor want the court's protection they have to initiate the action by requesting relief of the bankruptcy court from the stay. *In re Sharon*, 234 B.R. at 684. 11 U.S.C. § 362(d) does not function as an exception to the automatic stay or a method to justify not providing the property to the trustee. *Id.* Rather courts have considered accessing damages when a creditor violated a stay and refused to turn over the property. *In re Williams*, 316 B.R. 534, 544 (Bankr. E.D. Ark. 2004); *In re Wright*, No. 7-09-10892 JR, 2010 WL 2206669, at *5 (Bankr. D.N.M. May 27, 2010).

Because 11 U.S.C. § 362(d) gives the trustee the ability of having the judge review the trustee's actions, a holding that retention of the property is a violation of 11 U.S.C. § 362(a)(3) would not leave creditors without protections. The facts in the current case do not suggest any reason why Weinberg's interests are not protected in bankruptcy as the case currently stands. Weinberg's security interests in the trucks mean that the loan is adequately secured.

The presence of a method to obtain a remedy in the same code section that mandates that a property be turned over once bankruptcy is filed is logical. A more consistent reading would be that without exception all property must be turned over to the estate and if a party feels that they are not being protected they can seek relief of the court. Such a statutory construction does not require the piecing together of other statutes in an attempt to draw a more complicated conclusion.

3. The Facts of the Cases Which Form the Majority Rule's Caselaw Mirror Those of The Case Before This Court.

The fact patterns in *Thompson, In re Weber* and this case are identical in the relevant ways: a debt was incurred, a security interest was taken in an item and upon the debtor's failure to repay the creditor took control of the item. As the facts in *Thompson* and *In re Weber* map on well to this case, *Thompson* and *In re Weber* cases provide useful guidance in resolving the dispute between the Debtor and Weinberg.

In re Cowen, a case that is supportive of the Minority Rule, is distinguishable both on the basis of fact and legal analysis. The creditor did not have his truck repossessed from his property, rather the debtor did some work on the creditor's truck and the debtor retained possession of the truck until payment was made. The debtor took title on the truck once payment was not forthcoming. *In re Cowen*, 849 F.3d 943, 945 (10th Cir. 2017). The *In re Cowen* opinion defines "act" as to "take action" or "do something." *Id. at* 949. This analysis renders the decision to decline an option not to be an act. A creditor's "violation of the automatic stay can be willful when the creditor knew of the stay and violated the stay by an intentional act." *In re Sharon*, 234 B.R. at 688. "As used in [current subsection 362(k)], 'willful' unlike many other contexts, does not require any specific intent.' *In re Bivens*, 324 B.R. 39, 42 (Bankr. N.D. Ohio 2004).

B. This Court's Holding In *Whiting Pool* Further Evidences that Turnover in Bankruptcy is Self-Executing.

This is not the first case in which the Court has dealt with the question as to whether a provision of the bankruptcy code is self-executing. *Whiting Pool* ruled on the question of whether § 542(a) of the Bankruptcy Code compelled the turnover of an asset seized by a creditor. *Whiting Pools, Inc.*, 462 U.S. at 199. The Court held that 11 U.S.C. § 542(a) "requires an entity (other than a custodian) holding any property of the debtor that the trustee can use under 363 to turn that property over to the trustee." *Id.* at 205. 11 U.S.C. § 363 describes the property of the

estate. The Court did not qualify this view of 11 U.S.C. § 542(a) with an indication that any judicial input or approval is required. See generally, *Whiting Pools, Inc.*, 462 U.S. at 198. Despite discussing different sections of the bankruptcy code, several courts have looked to Whiting Pool to determine the application of 11 U.S.C. § 362(a)(3) for good reason: both it and 11 U.S.C. § 542 discuss the Bankruptcy Code's turnover power. *In re Knaus*, 889 F.2d at 775; *Thompson* 566 F.3d at 702.

Whiting Pool proves useful for Debtor's argument regardless of whether the Court views this case as being bound by stare decisis via Whiting Pool. If the Court views its holding regarding the turnover power in *Whiting Pool* to be binding then the turnover power under 11 U.S.C. § 362(a)(3) is self-executing. *Whiting Pools, Inc.*, 462 U.S. at 205. If the Court does not view Whiting Pool as binding precedent on this case, Whiting Pool stands for the proposition that the bankruptcy process casts a wide net when determining which assets are considered part of the estate. *Id.* at 208.

1. Whiting Pool is Useful in Analyzing 11 U.S.C. § 362(a)(3).

Whiting Pool concerns a business who failed to pay their tax bill and had the IRS obtain a lien against the business' assets. *Id.* at 202. The firm filed bankruptcy and the estate requested that the assets be returned to them pursuant to 11 U.S.C. § 542(a). The IRS refused this request. *Id.* This Court ruled that the IRS improperly withheld the assets from the estate as the bankruptcy's turnover power is self-executing. *Id.* at 206. The basic fact pattern in the case before this Court and *Whiting Pool* is very similar: a creditor repossessed the debtor's assets, the debtor filed bankruptcy and the creditor refuses to provide assets to the estate despite a statutory requirement to do so.

a. Whiting Pool Demonstrates that Judicial Review Before Turnover Is Not Required

As the scope of 11 U.S.C. § 542 is defined by 11 U.S.C. § 363 these two sections are linked and an analysis of requiring an analysis of that section. Most relevant is 11 U.S.C. § 363(e) which outlines the powers of the judiciary in this provision. 11 U.S.C. § 363(e) in relevant parts states that "on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased by the trustee, the court… shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest." This provision does allow the court to intercede, at the request of a party with an interest, to reverse the trustee's proposed or actual actions, it does not mandate that a trustee get clearance to obtain possession of an item that is not held by the estate. This section is a safeguard which allows for judicial review rather than as a gatekeeper mechanism that must be cleared before the trustee takes possession of the property.

When Congress intends for the Court to act as a gatekeeper in the Bankruptcy Code they clearly set-out that role. 11 U.S.C. § 542(e) states that "after notice and a hearing, the court may order [people that have recorded information] to turn over or disclose such recorded information to the trustee." This section provides an illustration of when Congress wanted to the court to intervene before items were surrendered. 11 U.S.C. § 542(e) does not mandate that the proceedings they describe happen at a prescribed time or even hint that the Creditor is entitled to a hearing before surrendering the property and the Court in *Whiting Pool* did not set such a timetable. In light of the Court's view of 11 U.S.C. § 542(e) in *Whiting Pool*, a holding that 11 U.S.C. § 362(a)(3) has such a right and that this hearing must happen before the property is surrendered would be well outside of existing Supreme Court precedent.

As noted by the Court in *Whiting Pool*, 542(a) has limitations as it allows for the raising of certain defenses: when the property is of negligible value, when holder of the property is a

good faith recipient, or when the transfer is automatic to pay a life insurance premium. *Whiting Pools, Inc.*, 462 U.S. at 206 n12. However, none of these exceptions are applicable in the present case.

b. Regardless of Whether it is Viewed as Binding on this Case, Whiting Pool Provides Guiding Principles of Bankruptcy Law.

The Court in *Whiting Pool* has already rejected the argument that possession is required to protect a creditor in bankruptcy stating that "The Bankruptcy Code provides secured creditors various rights, including the right to adequate protection, and these rights replace the protection afforded by possession." *Id.* at 207. *Whiting Pool* also noted that bankruptcy has a "broad scope" and a "…congressional goal of encouraging reorganizations…"*Id.* at 205.

Whiting Pool was a Chapter 11 case, while the issue before the court arises out of a Chapter 7 case. However, this difference should not alter the legal analysis as "the general Code policy of maximizing the value of the bankruptcy estate." *Toibb v. Radloff*, 501 U.S. 157, 163 (1991). The application of case law based on one chapter of the bankruptcy code to a fact pattern involving another area of the bankruptcy code is common. *In re Jefferson Cty., Ala.*, 474 B.R. 228, 254 (Bankr. N.D. Ala. 2012).

2. Congress Could Have Responded to this Court's Holding in Whiting Pool with Disproval or Apathy; However, Congress' Modifications to the Bankruptcy Code Made Immediately After Whiting Pool Suggest Approval of Whiting Pool.

If Congress disagreed with the Court they likely would have updated the bankruptcy code to make it clear that that was not the case. When Congress feels as though the Court erred in interpreting a statute they can essentially overturn the court by clarifying an existing statute or passing a new law. Congress was active in using this power against rulings by the Burger and Rehnquist Courts, in 1991 alone Congress overturned 9 Supreme Court opinions. Devins, Neal, "Congressional Responses to Judicial Decisions" (2008). Faculty Publications. 1633.

https://scholarship.law.wm.edu/facpubs/1633. Issued in 1983, the *Whiting Pool* opinion held that Sections 542's turnover power self-executing. *Whiting Pools, Inc.*, 462 U.S. at 205. Rather than updating the Bankruptcy Code to indicate that the Court was wrong or to make clear that the power was only effective in certain situations Congress expanded the power in 11 U.S.C. § 362(a)(3). In 1984, Congress updated 362(a)(3) from "any act to obtain possession of property of the estate or of property from the estate" to "any act to obtain possession of property of the estate…or to exercise control over the property of the estate." *TranSouth Fin Corp. v. Sharon (In re Sharon)*, 234 B.R. at 682. Rather than this being the addition of a new duty by Congress as some courts suggest. see *In re Cowen*, 849, F.3d at 950. The update is an affirmation by Congress that the turnover power is self-executing. The 1984 update is simply a way to make certain the statute is clear in that regard.

The 13th Circuit argued that the updated language of 11 U.S.C. § 362(a)(3) was the result of Congress wanting make clear that the provision's automatic stay included intangible property. (R-14). This reasoning is not persuasive for two reasons: 1) It ignores *Whiting Pool* and 2) they provide no reasons or hints as to why intangible property was what Congress was focused on. A year prior to this update to the Bankruptcy Code, *Whiting Pool* had found that at least one part of the Code was self-executing. In the aftermath of *Whiting Pool*, it seems unlikely that Congress would then insert language that makes it appear that made retention of the estate's property by the creditor is a violation of the stay. The argument that this clause is aimed at a certain class of property ignores the reality that making the text focused on a specific type of property was very easy to do. If Congress wanted to only focus on intangible property inserting the word "intangible" before "property" would have been logical or at a minimum some sort of suggestion that physical property in the hands of the creditor was excluded. This argument also cites no

motive for this change such as a major news event or concern that drive a rewrite of a law. The Court has noted such events when reviewing statutory revisions. *see Yates v. United States*, 135 S. Ct. 1074, 1079 (2015).

II. CREDITORS' LEGAL FEES AND EXPENSES ARE NOT PERMISSIBLE SUBSTANTIAL CONTRIBUTION ADMINISTRATIVE FEES IN CHAPTER 7 BANKRUPTCIES.

The language of 11 U.S.C. § 503(b) permits "substantial contribution" administrative expense claims in chapters 9 and 11. The subsection does not mention these claims being permitted in chapter 7 cases as Weinberg would like to allow here. First, Congress knew how to include chapter 7 in the subsection and they declined to add chapter 7. Second, the recent case decided by this Court, *RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639 (2012), establishes a canon of interpretation for when there are general and specific provisions "side by side" in the Bankruptcy Code that should be applied here. Third, there is appropriate equity to Weinberg as a creditor without the administrative expense because Weinberg will receive his distribution from the bankruptcy estate.

A. The Congressional Intent was to Limit Substantial Contribution Claims to Chapters 9 and 11.

11 U.S.C. § 503(b)(3)(D) does not discuss chapter 7 cases, rather the text of this section only allows creditors to recover their expenses in chapters 9 and 11. The text reflects Congress' deliberate choice to provide for claims in the two chapters delineated. 11 U.S.C. § 503(b) gives the court authority to award administrative expenses under several different sets of circumstances. The relevant portion of the subsection is:

> (b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including--
>
> (3)the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--…

(D) a creditor… in making a substantial contribution in a case under chapter 9 or 11 of this title…

11 U.S.C. § 503(b). Because the parties agree that Weinberg did substantially contribute to the case, we focus on the last portion of section D "in a case under chapter 9 or 11." A plain reading of the text makes it clear that these substantial contribution administrative expense claims are only permissible in chapter 9 or 11 cases. "When the statute's language is plain, the sole function of the courts – at least where the disposition required by the text is not absurd – is to enforce it according to its terms." *Lamie v. U.S. Trustee*, 540 U.S. 526, 534 (2004) (citation and internal quotations omitted).

Because Congress did not address substantial contribution administrative expenses in cases under chapter 7, most courts reject all such claims in chapter 7. "[Congress's] limitation in section 503(b)(3)(D) to cases under chapter 9 and chapter 11 is a clear indication that it did not intend such an administrative expense to be allowed in chapter 7 cases" *In re Hackney*, 351 B.R. 179, 205 (N.D. Ala. 2006); see also *In re Lloyd Sec., Inc*., 75 F.3d 853, 857 (3d Cir. 1996); *In re Fesco Plastics Corp., Inc*., 996 F.2d 152, 157 n.5 (7th Cir. 1993).

Congress knew how to draft the language to include the administrative claims in chapter 7, but chose not to. "Had Congress intended to [accord administrative expense priority to the fees and expenses incurred by a creditor in making a substantial contribution in a chapter 7 case], it presumably would have done so expressly as it did [for chapter 9 and chapter 11 cases in section 503(b)(3)(D)]." *In re Hackney*, 351 B.R. at 250 (paraphrasing language from *Russello v. United States*, 464 U.S. 16, 23 (1983).

Courts have held that because there is no language explicitly allowing expenses in chapter 7, application of them would be inconsistent with the statute. *In re Hackney*, 351 B.R.

179, 205 (N.D. Ala. 2006) In *Hackney*, AmSouth Bank, the creditor at issue, filed an administrative claim for expenses created prepetition. In prepetition litigation, AmSouth discovered that that debtor was withdrawing a substantial amount from the estate via a fraudulent conveyance fee. The court found that AmSouth Bank could not receive an administrative expense distribution for the work prepetition because the substantial contribution test found in 11 U.S.C. § 503(b) does not apply to chapter 7 cases.

Courts have gone so far as to return the award of administrative expense claims to the estate in instances where the work performed occurred after the debtor converted from a chapter 11 to a chapter 7. *Lebron v. Mechem Fin.*, 27 F.3d 937 (3d Cir. 1994). In *Lebron*, the debtor, a funeral home corporation, was involved in scamming customers out of their pre-purchased funerals. Special counsel joined the bankruptcy proceedings to aid in the litigation against the president of the debtor corporation who was funneling the funds out of the corporation. The original bankruptcy court awarded the substantial contribution claims to the special counsel, and on appeal the Third Circuit reversed. The court in *Lebron* drew a bright line that administrative expenses from substantial contributions are never allowable in chapter 7 cases. "Section 503(b)(3)(D) does not authorize fee awards for expenses incurred after a case is converted from Chapter 11 to Chapter 7." *Lebron v. Mechem Fin.*, 27 F.3d at 946. dddd

1. <u>The Lower Court's Reading Renders Section D Useless</u>.

By accepting the lower court's reading of 11 U.S.C. § 305(b)(3)(D) as merely "guidance" to the courts, it leaves this subsection with no meaning.

"Our cases consistently have expressed 'a deep reluctance to interpret a statutory provision so as to render superfluous other provisions in the same enactment'" *Freytag v. Comm'r*, 501 U.S. 868, 877, (1991) *(quoting Penn. Dep't of Public Welfare v. Davenport*, 495 U.S. 552, 562 (1990*)); see also Cf. TRW Inc. v. Andrews*, 534 U.S. 19, 31 (2001) (citations

omitted) (statute should be construed so as not to render any clause, sentence, or word superfluous, void or insignificant).

The Majority opinion of the lower court decision reasoned that subsection D does indeed have a purpose as a "contextual framework." This reasoning is unconvincing. As the dissent in Connolly describes, Congress had multiple chances to change the language of subsection D to reflect this "framework" and declined. *In re Connolly N. Am., LLC*, 802 F.3d at 821-822 (O'Malley, J., dissenting).

B. The Recent Supreme Court Caselaw Guides the Interpretation of the Bankruptcy Code.

In 2012, the Court rejected the argument that a specific provision in the Bankruptcy Code can be ignored by a more general introductory phrase. *RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639 (2012). The Court unanimously ruled in *RadLax* that 11 U.S.C. 1129(b)(2)(A)(ii) which discusses cramdown plans, cannot be ignored by relying on the general subsection above. *Id.* Here, the parallel example with Backstreet Plowing Inc., is ignoring the specific limitation in 11 U.S.C. § 503(b)(3)(D) that limits the expenses to chapters 9 and 11 by using the language "including" located in the more general subsection (b).

The debtor in *RadLax* like Weinberg, argued that while it did not satisfy the specific requirement it could satisfy the more general statutory requirement. In rejecting the argument, the Court found that argument to be "hyper literal and contrary to common sense" basing this on the "well established cannon of statutory interpretation that succinctly captures the problem that the specific governs the general." *Id.* at 646 (quoting Morales). "[I]t is a commonplace of statutory construction that the specific governs the general." *Morales v. Trans World Airlines, Inc.*, 504 U.S. 374, 384 (1992).

Especially relevant to the case at hand, the Court reasoned that this canon of interpretation had full application "to statutes such as the one in which a general authorization

and a more limited, specific authorization exist side-by-side." *Id.* at 2071. Application of *RadLax* to this case leads to the conclusion that the specific authorization of 503(b)(3)(D) prevails in the face of the general authorization of 503(b). Chapter 9 and 11 are 'specific problems with specific solutions' identified by Congress and the reason for the specific targeting in subsection D. 566 U.S. at 646.

In the present case, the 13th Circuit ignored *RadLAX*, and rather relied on *In Re Connoly* which similarly had disregarded *RadLAX's* interpretation argument. Upholding the 13th Circuit would be tantamount to the Court overturning *RadLax's* holding regarding the statutory interpretation of specific and general language.

1. The 6th Circuit's Interpretation In Re Connolly Disregards This Court's Canon of Interpretation and is Contrary the View of a Majority of Circuits.

The Majority opinion in the 13th Circuit's decision relies primarily on the split decision from the Sixth Circuit, *In re Connolly.* (R-17). The lower courts' decision, by relying on *In Re Connolly*, dismisses this Court's canon of interpretation of the specific subsection guiding the general. *In Re Connolly*'s reasoning for is not persuasive; they reason because 11 U.S.C. § 503(b) contains the word "including" while the *RadLax* statute did not, this Court's canon of interpretation can be ignored. "Congress used "including" for the list of "actual, necessary costs and expenses of preserving the estate" in § 503(b)(1)(A), but conspicuously chose not to include similar language in § 503(b)(3)." *Id.*

> The Sixth Circuit in an earlier case stated that:
>
> [T]here is no textual support in the Code for drawing such a distinction between the Chapter 7 and Chapter 11 contexts [for § 503(b)(3)(B)]. Section 503(b)(3)(B)] . . . applies in both Chapter 7 and Chapter 11 proceedings. We do not believe that this was a mere oversight, given that Congress expressly limited another subsection of § 503(b)(3) to Chapters 9 and 11. *See* § 503(b)(3)(D) . . . .

in *In re Trailer Source, Inc.*, 555 F.3d 231, 243 (6th Cir. 2009) (analyzing the scope of § 503(b)(3)(B)); *see also Goodman v. Phillip R. Curtis Enter., Inc.,* 809 F.2d 152, 157 n.4 *(*4th Cir. 1987).

"At the time *Connolly* was decided, 86% of the courts confronted with the issue held that a court cannot allow an administrative expense for a substantial contribution in chapter 7, while only 14% agreed with the *Connolly* majority." *In re Health Trio, Inc.,* 584 B.R. 342, 353 (Bankr. D. Colo. 2018); *see eg. In re Lloyd Sec., Inc.,* 75 F.3d 853, 857 (3d Cir. 1996); *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 946 (3d Cir. 1994).

"The majority of courts addressing the issue have concluded that administrative expense priority may not be accorded to expenses incurred by a creditor in making a "substantial contribution' in a Chapter 7 case'" *In re Hackney*, 351 B.R. at 200.

The decision in Connolly went against this Court's canon of interpretation as well as the majority of circuit's understanding of interpretation and therefore should be ignored.

C. Public Policy and Equity Considerations Support the Debtor's Argument.

Bankruptcy Courts are courts of equity, these concerns further support the debtor's case.

1. Weinberg Will Still Receive Distribution As a Creditor.

Perhaps the largest contention in *Connolly* is that bankruptcy, as a court of equity, should afford relief to Weinberg. Bankruptcy courts "are essentially courts of equity, and their proceedings [are] inherently proceedings in equity." *See Local Loan Co. v. Hunt,* 292 U.S. 234, 240 (1934) (citations omitted); *see also Pepper v. Litton*, 308 U.S. 295, 307 (1939) ("As we have said, the bankruptcy court in passing on allowance of claims sits as a court of equity.").

This power of equity found in 11 U.S.C. § 105(a) ("The court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title.") is not without its limits. "[A] bankruptcy court is simply not authorized to do whatever is

necessary to reach an equitable result; it may only do whatever is necessary to enforce the Code." *In re Fesco Plastics Corp., Inc*., 966 F.2d 152, 157 (7th Cir. 1993). The bankruptcy court may not disregard the Code in favor of perceived "equities." *In re Milwaukee Engraving Co*., Inc., 219 F.3d at 637.

Actions of bankruptcy courts are "limited to what the Bankruptcy Code itself provides." *Law v. Siegel*, 134 S. Ct. 1188, 1194-95 (2014) (quoting *Norwest Bank Worthington v. Ahlers*, 485 U.S. 197, 206 (1988)); *see also Raleigh v. Ill. Dep't of Revenue*, 530 U.S. 15, 24-25 (2000).

Weinberg, as the largest creditor known under these facts, will still reap a large, if not the largest, benefit because of the chapter 7 liquidation. Weinberg made a business decision to allow his attorneys to continue working even though there was no statutory basis for the fees to be paid. In the end, Weinberg did serve his own interests by increasing the Bankruptcy estate, thus increasing his eventual distribution as a large creditor. The end result of Weinberg's actions was an equitable result with Weinberg being well rewarded for his business decision.

Should the Court choose to award Creditors the administrative expense claims of chapter 7 cases, the Court would be completely disregarding the Code and stepping outside of the authority. As argued above, it is the job of Congress to change the Code and not the bankruptcy courts.

The benefit to Weinberg because of his efforts in allowing the attorneys to uncover the fraud will not render him unrewarded under the allowed provisions of the Bankruptcy Code- that of the distribution he will receive as a creditor.

2. <u>There Exists A Remedy for Professionals to be Employed Under 327(A).</u>

Chapter 7 cases are not limited to only Trustees receiving reimbursement for their efforts. Professionals, such as the attorneys employed by Weinberg, can approach the Trustee of the case to seek appointment by the court as special counsel. 11 U.S.C 327 allows for the trustee to

petition the court to employ attorneys to "assist the trustee in carrying out the trustee's duties under this title."

"There are provisions of § 503 other than subsection (b)(3)(D) that authorize reimbursement of expenses incurred in connection with a chapter 7 proceeding, and we believe that post-conversion expenses were intended to be reimbursable under those provisions or not at all. *See, e.g.*, §§ 503(b)(3)(B) and (C)." *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 945 (3d Cir. 1994).

11 U.S.C. § 503(b)(3)(D) was described as "an accommodation between the twin objectives of encouraging 'meaningful creditor participation in the reorganization process,' and keeping fees and administrative expenses at a minimum so as to preserve as much of the estate as possible for the creditors." *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 944 (3d Cir. 1994) (internal citations omitted).

3. Allowing these Administrative Expenses Unfairly Diminishes the Funds for Creditors and Other Claimants.

Should the Court allow such a dangerously broad reading of the statute to include substantial contribution administrative expenses, it will have a negative effect on the overall estate and go against a fundamental canon of bankruptcy.

"Claims for administrative expenses under § 503(b) are strictly construed because priority claims reduce the funds available for creditors and other claimants." *City of White Plains v. A & S Galleria Real Estate, Inc. (In re Federated Dep't Stores, Inc.)*, 270 F.3d 994, 1000 (6th Cir. 2001) (internal citation omitted). Courts traditionally limit § 503(b) to only apply to chapter 9 and 11 because administrative expenses under this statute are priority claims paid directly from the bankruptcy estate and thereby reduce the funds available to other creditors. *In re Alumni Hotel Corp.*, 203 B.R. at 630.

A key canon of bankruptcy is to maximize payments to creditors. "The provisions of section 503(b) should be strictly construed because of the overarching goal of keeping administrative expenses at a minimum, thereby preserving the estate for the benefit of all creditors." *Suplee v. Bethlehem Steel Corp. (In re Bethlehem Steel Corp.)*, 479 F.3d 167, 172 (2d Cir. 2007); *see also In re D.W.G.K. Restaurants Inc*., 84 Bankr. 684, 690 (Bankr. S.D. Cal. 1988).

Even the Sixth Circuit court has made clear that "[c]laims for administrative expenses under § 503(b) are [to be] strictly construed because priority claims reduce the funds available for creditors and other claimants." *In re Federated Dep't Stores, Inc.*, 270 F.3d 994, 1000 (6th Cir. 2001); *see also In re United Educ. & Software*, No. CC-05-1067-MaMeP, 2005 Bankr. LEXIS 3408, 2005 WL 6960237, at *4 (B.A.P. 9th Cir. Oct. 7, 2005)("Section 503(b) has been construed narrowly because administrative claims are paid directly from the bankruptcy estate and reduce the funds available for creditors and other claimants.").

Here, Weinberg did protect his business interests by securing the debt with a personal guarantee and he will receive a substantial distribution because of this. If he receives the substantial contribution administrative fee it will benefit him as a creditor while simultaneously diminishing the amount left over for other creditors.

4. The Attorney Fees Here are Not Acceptable Under the American Rule.

The American Rule is the common law notion that litigants are responsible for their own attorney's fees. Courts consider this principle when applying a fee shifting statute. *Baker Botts L.L.P. v. ASARCO LLC*, 135 S. Ct. 2158, 2164 (2015).

Weinberg made a conscious business decision to allow his counsel to work on uncovering the fraud case, when it is reasonable to conclude he was aware there was no statutory

benefit available to him. The Court is not responsible for reimbursing business decisions that do not pan out.

CONCLUSION

The text of 11 U.S.C. § 326(a)(3) is clear, a party is not permitted to perform any act to exercise control over the estate's property, Weinberg violated this requirement. The Debtor's text-based argument is supported by caselaw from every level of the American legal system, the general policy goals of bankruptcy and Congressional activity. Concerning the second certified question, substantial contribution administrative expense claims are not permissible in chapter 7 cases. The language in 11 U.S.C. § 503(b)(3)(D) permits these expenses only in chapter 9 and 11 cases, and the general provision in § 503(b) does not override the specific provision in section (D).